

lender looks at your income, debts, and other financial information to determine how large a loan you can handle. The benefit is that if you end up going to a dealership, you'll know that you're approved for financing. Also, you'll be better equipped to negotiate once you have a ballpark figure of how big a loan and what rate you can qualify for. You can do this online or at your local bank or credit union.

- **Negotiate with car dealers and settle on the exact price of the car before you discuss financing.** Sometimes dealers will give you what seems like a break by offering you a low-rate loan—but then jack up the price of the car to compensate. In general, the sticker price is about 5% to 10% higher than the price the dealer paid for the car. For all but the hottest models, you shouldn't pay the sticker price. To get an idea of what you can expect to pay, look at the comprehensive write-ups of specific cars on consumer-oriented websites like Edmund's (www.edmunds.com) and Kelley Blue Book (www.kbb.com). Armed with the information from those sites, you're ready to haggle with the dealer. Aim to pay just 5% or so above the price he paid (the sites will tell you how much that is).
- **Don't tell the dealer how much you can afford to spend on monthly payments.** This is often the first question a car dealer will ask. Although you should have a rough idea of the answer (see Figure 3–2), don't share that information with the dealer. The reason: Once the dealer knows, he can adjust the terms (for example, the price of the car or the interest rate you're charged) to his liking while matching your monthly payment figure. Instead, say you want to check out the different cars you're interested in and settle on the price before you discuss financing.
- **Steer clear of low down payment loans.** Even if you find one of these deals, don't take it. The lower the down payment, the more interest you'll pay over the life of the loan. That's because a low down payment increases the size of the loan you need. Of course, if you can afford it and